20
The features of documentary credits

Learning objectives

This chapter looks at the different types of features and conditions that can be seen in documentary credits.

By the end of this chapter, you should be able to:

- identify the different types of features and the data that is required to appear in a documentary credit; and
- understand the requirements, scope and application of these features and conditions.

20.1 Introduction

Some features and conditions are fundamental to all documentary credits; others, by means of the insertion of clauses or a recognised form of wording, provide a speciality function. A number of these characteristics are provided for within UCP 600 and ISP98, but others have gained acceptance under the umbrella of international standard banking practice. This chapter looks at those features and conditions that are more commonly encountered when handling documentary credits.

20.2 Revocable documentary credits

A revocable documentary credit may be amended or cancelled by the issuing bank at any time and without prior notice to, or with the consent of, the beneficiary.

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As a consequence, revocable documentary credits are rarely used and are not covered in UCP 600. Among other things, **UCP 600, article 3**, presumes that documentary credits are irrevocable.

> […]
>
> A credit is irrevocable even if there is no indication to that effect.
>
> […]

When a revocable documentary credit is issued, it needs to state specifically that it is revocable, and incorporate the terms and conditions that will apply to the revocability.

It should be noted that a revocable documentary credit offers no security of payment to a beneficiary and may not be considered a fair exchange for the goods, services or performance to be provided by a beneficiary.

An issuing bank remains liable to reimburse a nominated bank for any honour or negotiation made before it received notice that the documentary credit had been revoked. This includes a liability to reimburse such bank for any deferred payment undertaking incurred before it received a revocation notice.

20.2.1 Managing risk under a revocable documentary credit

When a revocable documentary credit is issued, an issuing bank should restrict honour or negotiation to a single nominated bank – that is the advising bank. This means that, in the event of an amendment or the need for a cancellation notice, the issuing bank can communicate clearly and directly with a specific bank, reducing the chances of error. It also removes the possibility of another nominated bank acting under the revocable documentary credit, while unaware of any amendment or cancellation notice, in circumstances under which it was available with any bank.

If a request for cancellation is received from an applicant, the issuing bank should inform the applicant that it remains liable for any honour or negotiation made by the nominated bank prior to its receipt of the cancellation notice. Ideally, the applicant should be so advised at the time of issuance.

The issuing bank must advise the advising bank of the cancellation without delay. At the same time, it should also request the advising bank to confirm its receipt of the message and / or the details of any honour or negotiation that it has undertaken prior to the receipt of the cancellation notice.

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Banks should not issue revocable documentary credits that are transferable, nor should banks confirm revocable documentary credits.

If it receives a revocable documentary credit, an advising bank should bring to the attention of the beneficiary the fact that it is subject to cancellation at any time up to and including the day of presentation of documents, and can be cancelled without prior notice to, or with the consent of, the beneficiary.

If an advising bank receives notice of cancellation from an issuing bank, it should inform the beneficiary without delay. Even if not requested by the issuing bank, it should advise and / or claim on the issuing bank if it has already honoured or negotiated a complying presentation prior to receipt of the cancellation notice.

20.3 Irrevocable documentary credits

The definition of an irrevocable documentary credit can be found under **UCP 600, article 2**.

> **Credit** means any arrangement, however named or described, that is irrevocable and thereby constitutes a definite undertaking of the issuing bank to honour a complying presentation.

UCP 600, sub-article 10(a), provides as follows.

> **a.** Except as otherwise provided by article 38, a credit can neither be amended nor cancelled without the agreement of the issuing bank, the confirming bank, if any, and the beneficiary.

This means the beneficiary gains considerable comfort from the clear and unambiguous undertaking of the issuing bank. For standby credits issued subject to ISP98, this comfort comes from **ISP98, rule 1.06(a) and (b)**.

> a. A standby is an irrevocable, independent, documentary, and binding undertaking when issued and need not so state.
>
> b. Because a standby is irrevocable, an issuer's obligations under a standby cannot be amended or cancelled by the issuer except as provided in the standby or as consented to by the person against whom the amendment or cancellation is asserted.

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20.4 Clean documentary credits

The following definitions of a clean documentary credit provide a reasonable description.

> **Clean credit:** A credit opened by a banker under which a person abroad may draw bills upon the banker, the banker undertaking to accept the bills if drawn in accordance with the conditions in the credit. It is called 'clean' because the bills have no documents attached. Such a credit is granted only to firms of the highest standing, or against securities.
>
> (Hanson, 1985)
>
> **Clean credit:** A letter of credit issued by a bank against which the designated foreign seller may draw a bill without documentary support. The issuing bank engages to accept a clean bill, if otherwise drawn in accordance with the conditions imposed by the relative letter of credit. A clean credit is granted only to concerns of the highest credit standing.
>
> (Garcia et al., 1991)

The distinguishing features in both definitions are that the issuer of a clean documentary credit is obligated to pay against bills of exchange (drafts) drawn on the issuer and that no other documents are required for payment. Historically, the clean documentary credit was also used as a means by which a paying bank, which paid a beneficiary under a traveller's letter of credit, would obtain reimbursement by drawing a bill of exchange on the bank that issued the traveller's letter of credit.

This type of structure can be, and is, used for a variety of commercial purposes that do not envisage either the movement of goods or an event of default. A direct-pay standby letter of credit is an example of its potential use.

20.5 Advance payment (red clause) documentary credits

At the beneficiary's request, the applicant may agree to make a part of the purchase price available to the beneficiary as a pre-shipment advance and may further agree that such advance should be made from within the documentary credit when issued. This arrangement provides for the amount of the advance to be deducted from the amount to be paid to the beneficiary upon presentation of complying documents.

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20.5.1 An overview of an advance payment documentary credit

The issuing bank incorporates a clause in its documentary credit authorising the nominated bank to pay a specific amount, or a percentage of the value of the documentary credit, to the beneficiary. Historically, this clause appeared in bold red type on documentary credits issued in paper form, in order to draw attention to the advance, and for this reason such documentary credits were termed 'red clause'.

The clause may require:

- a receipt for the advance duly signed by the beneficiary;
- an undertaking of the beneficiary to utilise the funds to purchase, pack and ship the merchandise; or
- an undertaking of the beneficiary to present the documents, as stipulated in the documentary credit, to the nominated bank within the expiry date, or to repay the advance or part thereof in the event that it does not.

In reimbursement, the nominated bank will claim on the issuing bank in terms of the documentary credit supported by a document as indicated above.

In order to provide some measure of comfort to the issuing bank (and the applicant), the advance payment is sometimes to be made not only against a receipt and / or undertaking, but also against the beneficiary:

- providing confirmation from a shipping agent that it has booked shipping space on a particular vessel, the sailing date of which is consistent with the latest shipment date shown in the documentary credit;
- providing a receipt from an independent warehouse that the goods are or will be stored and insured; and / or
- agreeing that the nominated bank may retain the original advice of the documentary credit.

Sometimes, either because of local custom or at the request of the issuing bank, the nominated bank may agree to monitor part of these arrangements. However, it is under no obligation to do so.

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20.5.2 Managing risk under an advance payment documentary credit

An advance payment guarantee is the best way of managing the risk of paying in advance – that is, a bank gives a separate undertaking that, in the event that the beneficiary fails to perform, a claim may be made thereunder.

Because the number of advance payment documentary credits is relatively small, all parties should ensure that:

- advance payment files are clearly marked as such; and
- all advices and transactions are handled by more experienced staff.

The issuing bank should also ensure that honour or negotiation is restricted to a single nominated bank.

The nominated bank should ensure that:

- the advance payment is made strictly in terms of the documentary credit;
- the necessary document in support of its claim for reimbursement from the issuing bank is obtained from the beneficiary and complies with the documentary credit requirements; and
- the claim for reimbursement for the advance is made promptly.

20.6 Revolving documentary credits

Revolving documentary credits are generally used between an applicant and beneficiary who have a long-standing repetitive trading relationship and experience in the shipment of the goods described in the documentary credit.

The applicant will arrange for a documentary credit to be issued, which allows the amount thereof to revolve, usually without amendment – that is, on an automatic basis. Under this arrangement, the continuing availability of the documentary credit revolves upon shipment or presentation of documents or at a specific time, such as the 1st of each month, and not upon the issuance of a specific amendment.

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20.6.1 An overview of a revolving documentary credit

A revolving documentary credit depends on three main features: the type; whether or not it is to occur on an automatic basis; and whether or not it is to be on a cumulative basis, as follows.

◆ **Type of revolvement**

- If revolvement is *dependent upon time*, a specific amount is allowed to be drawn within a defined period as stipulated in the documentary credit and during its validity. For example, a documentary credit may indicate that USD25,000 may be drawn each month during its six-month validity. The revolvement of the amount may occur on an automatic or non-automatic basis and on a cumulative or non-cumulative basis (see below).

- If revolvement is *dependent upon value*, a revolving documentary credit may indicate that its amount is to revolve upon utilisation within the overall validity of the documentary credit. In the absence of any other indication, such an authorisation allows it to revolve upon each and every utilisation. So, in the above example, the beneficiary could theoretically make a shipment every day for six months – that is, make 180 revolvements of the amount shipped. It is almost impossible to calculate the liability in these circumstances. For this reason, banks issuing revolving documentary credits under which revolvements are dependent upon value must indicate the overall maximum amount for which the documentary credit can be drawn for all shipments made during its validity, or the number of times that the documentary credit will revolve. Again, the revolvement may occur on an automatic or non-automatic basis and on a cumulative or non-cumulative basis (see below).

◆ **Whether the revolvement is automatic or not**

A documentary credit must indicate whether the revolvements are automatic or not.

- If the revolvements *are* automatic, there is no need for any further amendment from the issuing bank.

- A revolvement is considered *non-automatic* if it is dependent upon receipt by the nominated bank of the issuing bank's authorisation for a further revolvement to occur – that is, by way of an amendment.

Using the same example, the liability of the issuing bank on the date of issue of the revolving documentary credit will be:

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- USD150,000 if revolvements are automatic; or
- USD25,000 if it is non-automatic.

- **Whether the revolvement is cumulative or not**
  - The documentary credit may indicate that the revolvement is on a *cumulative* basis. For example, if USD25,000 can be drawn each month during a documentary credit's six-month validity, any amount not used in a month is available in each following month. Therefore, in the sixth month, the credit could potentially be available for the cumulative total of USD150,000 if no previous drawings have been made.
  - If the documentary credit indicates that the revolvement is on a *non-cumulative* basis, and using the above example, it means that if one month's shipment of USD25,000 were not made (either completely or partially), the unused amount cannot be carried forward to the succeeding month. If, for example, no shipments had been made for five months, the drawing for the sixth month would be USD25,000 only.

20.6.2 Managing risk under a revolving documentary credit

The issuing bank should ensure that:

- honour or negotiation is restricted to a named nominated bank; and
- revolvement of amounts (particularly if the revolvement is dependent upon value) remains under its control, or there is wording in the documentary credit that limits the liability to a fixed amount and / or period.

20.7 Reinstatement documentary credits

A reinstatement documentary credit is used when the applicant wishes to control the amount of goods that are shipped in any one shipment, but the beneficiary considers the conditions of UCP 600, article 32, to be unacceptable (because of the risk of losing the ability to perform under the documentary credit, should it not keep to the designated schedule of shipments).

A reinstatement documentary credit must indicate:

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- the base amount – that is, the value that is shown as the credit amount and which is the maximum value that may be drawn for any one shipment;
- that reinstatement will occur automatically following each presentation of documents; and
- the maximum amount that may be drawn under the documentary credit.

Example

The applicant and beneficiary agree on a sale contract for USD200,000 and that a number of partial shipments will be necessary. They also agree that the maximum amount that will be drawn at any one time will be USD20,000. The documentary credit is issued for the amount of USD20,000.

Field 47A, 'Additional Conditions', will state: 'This credit will automatically reinstate to the amount of USD20,000 following each presentation of documents, subject to a maximum drawing amount of USD200,000.'

Under this structure, the issuing bank's liability at the time of issuance of the documentary credit is USD200,000. However, the applicant knows that only an amount up to USD20,000 may be drawn in any one presentation. The beneficiary has the flexibility to ship goods, and to draw under the credit, for any amount up to USD20,000 in any one shipment.

20.8 Instalment drawings or shipments under documentary credits

If the documentary credit application form requires that shipment of goods is to be made in accordance with a defined shipment schedule, an issuing bank may wish to check the applicant's exact needs with regard to delivery of the goods. This will ensure that the documentary credit, when issued, accurately reflects these needs, particularly in respect of partial shipments and the continued availability of the documentary credit in the event of a failure by the beneficiary to adhere to an instalment schedule. This is covered in **UCP 600, article 32**.

If a drawing or shipment by instalments within given periods is stipulated in the credit and any instalment is not drawn or shipped within the period allowed for that instalment, the credit ceases to be available for that and any subsequent instalment.

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Applicants and banks that intend to incorporate an instalment schedule into a documentary credit, and for it to be subject to UCP 600, article 32, often make the mistake of not expressing the dates in terms of given periods. Each instalment in a sequence of given periods should have a start and an end date, and these dates are not to overlap. However, a number of documentary credits are issued with wording that consists only of a series of latest shipment dates. In this event, the provision under UCP 600, article 32 – that is, that the credit will cease to be available for that and any subsequent instalment if the beneficiary fails to keep to the stated schedule – will not be applied.

Consider the following example of a shipment of 500 computers and two examples of text in a documentary credit.

Example

Documentary credit 1 states:

- '200 computers to be shipped no later than 31 May 20XX';
- '150 computers to be shipped no later than 31 July 20XX'; and
- '150 computers to be shipped no later than 30 September 20XX'.

In this structure, the beneficiary could ship all 500 computers by 31 May, when the intention of the applicant was most likely for three separate shipments to occur.

UCP 600, article 32, will not apply.

Documentary credit 2 states:

- '200 computers to be shipped between 1 May and 31 May 20XX';
- '150 computers to be shipped between 1 July and 31 July 20XX'; and
- '150 computers to be shipped between 1 September and 30 September 20XX'.

In this structure, the documentary credit indicates three given periods and the beneficiary is unable to combine any shipments without creating a discrepancy.

Any failure to adhere to the schedule would therefore mean that UCP 600, article 32, applies.

In this respect, **ISBP 745, paragraph C15**, is also relevant.

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a. i. When a drawing or shipment by instalments within given periods is stipulated in the credit, and any instalment is not drawn or shipped within the period allowed for that instalment, the credit ceases to be available for that and any subsequent instalment. Given periods are a sequence of dates or timelines that determine a start and end date for each instalment. For example, a credit requiring shipment of 100 cars in March and 100 cars in April is an example of two periods of time that start on 1 March and 1 April and end on 31 March and 30 April respectively.

ii. When partial drawings or shipments are allowed, any number of drawings or shipments is permitted within each instalment.

b. When a credit indicates a drawing or shipment schedule by only indicating a number of latest dates, and not given periods (as referred to in paragraph C15) (a) (i):

i. this is not an instalment schedule as envisaged by UCP 600, and article 32 will not apply. The presentation is to otherwise comply with any instructions in respect of the drawing or shipment schedule and UCP 600 article 31;

ii. when partial drawings or shipments are allowed, any number of drawings or shipments is permitted on or before each latest date for a drawing or shipment to occur.

20.9 Use of tolerances in a documentary credit

It is often the case that a beneficiary cannot determine in advance the exact quantity of goods that will be shipped. This is especially so for bulk cargoes such as oil, wheat, rice, steel, etc.

In these cases, the applicant and beneficiary will agree on a specific tolerance that may be applied to the quantity, such as '+ / – 10 per cent'. There are no set rules as to the tolerance that can be set. For example, it could be stated as 'plus 5 per cent; minus 10 per cent'.

UCP 600, sub-article 30(a), provides a definition when terms such as 'about' or 'approximately' are used in relation to the amount, quantity of goods or the unit price.

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a. The words "about" or "approximately" used in connection with the amount of the credit or the quantity or the unit price stated in the credit are to be construed as allowing a tolerance not to exceed 10% more or 10% less than the amount, the quantity or the unit price to which they refer.

If a tolerance is applied to an amount or to the quantity of goods to be shipped, it is most likely that the tolerance is also to be applied to the other. It should be noted that a tolerance applied to the amount of the documentary credit is not automatically applied to the quantity of the goods or vice versa.

If the unit price is capable of increasing or decreasing, a tolerance may be applied against the figure quoted in the documentary credit, but again a similar tolerance would need to be shown against the amount of the documentary credit.

UCP 600, sub-article 30(b), provides for an automatic tolerance of plus or minus 5 per cent in the quantity of the goods, subject to the amount of the documentary credit not being exceeded, under certain circumstances.

b. A tolerance not to exceed 5% more or 5% less than the quantity of the goods is allowed, provided the credit does not state the quantity in terms of a stipulated number of packing units or individual items and the total amount of the drawings does not exceed the amount of the credit.

So this would not apply, for example, to a quantity expressed as '50 boxes of nuts and bolts' or as individual items ('500 cars'); rather, the tolerance would apply to quantities expressed in metric tonnes (MT), kilograms (kg), etc.

UCP 600, sub-article 30(c), allows for a tolerance not to exceed 5 per cent less than the credit amount, provided that the quantity of goods indicated in the documentary credit has been shipped in full and that any unit price has not been reduced.

c. Even when partial shipments are not allowed, a tolerance not to exceed 5% less than the amount of the credit is allowed, provided that the quantity of the goods, if stated in the credit, is shipped in full and a unit price, if stated in the credit, is not reduced or that sub-article 30 (b) is not applicable. This tolerance does not apply when the credit stipulates a specific tolerance or uses the expressions referred to in sub-article 30 (a).

ISBP 745, paragraphs C12–C14 provide further detail on the application of UCP 600, article 30.

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C12) An invoice is not to indicate:

a. over-shipment (except as provided in UCP 600 sub-article 30 (b)), or

b. goods, services or performance not called for in the credit. This applies even when the invoice includes additional quantities of goods, services or performance as required by the credit or samples and advertising material and are stated to be free of charge.

C13) The quantity of goods required in the credit may be indicated on an invoice within a tolerance of +/-5%. A variance of up to +5% in the quantity of the goods does not allow the amount demanded under the presentation to exceed the amount of the credit. The tolerance of +/-5% in the quantity of the goods will not apply when:

a. a credit states that the quantity is not to be exceeded or reduced; or

b. a credit states the quantity in terms of a stipulated number of packing units or individual items.

C14) When no quantity of goods is stated in the credit, and partial shipments are prohibited, an invoice issued for an amount up to 5% less than the credit amount will be considered to cover the full quantity and not a partial shipment.

20.10 Cancelling a documentary credit

UCP 600 contains no specific rule relating to the cancellation of a documentary credit or standby letter of credit. UCP 600, sub-article 10(a), indicates that a documentary credit, except as provided by UCP 600, article 38, cannot be amended or cancelled without the agreement of the issuing bank, the confirming bank, if any, and the beneficiary.

Any request for cancellation of a documentary credit or standby letter of credit issued subject to UCP 600 will usually be advised by way of an amendment.

An issuing bank, confirming bank or advising bank, in addition to receiving the written consent of the beneficiary, will usually require the return of the original advice of the documentary credit and any amendments issued thereto. A bank may require the written consent of the beneficiary to be authenticated by the bankers of the beneficiary, but this will be the choice of the concerned bank.

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For a standby letter of credit issued subject to ISP98, **ISP98, rules 7.01 and 7.02**, provide specific requirements in the event of cancellation.

7.01 When an Irrevocable Standby is Cancelled or Terminated

A beneficiary's rights under a standby may not be cancelled without its consent. Consent may be evidenced in writing or by an action such as return of the original standby in a manner which implies that the beneficiary consents to cancellation. A beneficiary's consent to cancellation is irrevocable when communicated to the issuer.

7.02 Issuer's Discretion Regarding a Decision to Cancel

Before acceding to a beneficiary's authorization to cancel and treating the standby as cancelled for all purposes, an issuer may require in a manner satisfactory as to form and substance:

a. the original standby;

b. verification of the signature of the person signing for the beneficiary;

c. verification of authorization of the person signing for the beneficiary;

d. a legal opinion;

e. an irrevocable authority signed by the beneficiary for cancellation that includes statements, covenants, indemnities, and similar provisions contained in a required form;

f. satisfaction that the obligation of any confirmer has been cancelled;

g. satisfaction that there has not been a transfer or payment by any nominated person; and

h. any other reasonable measure.

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20.11 Partial drawings or shipment under a documentary credit

UCP 600, article 31 ('Partial Drawings or Shipments'), provides as follows.

> **a.** Partial drawings or shipments are allowed.
>
> **b.** A presentation consisting of more than one set of transport documents evidencing shipment commencing on the same means of conveyance and for the same journey, provided they indicate the same destination, will not be regarded as covering a partial shipment, even if they indicate different dates of shipment or different ports of loading, places of taking in charge or dispatch. If the presentation consists of more than one set of transport documents, the latest date of shipment as evidenced on any of the sets of transport documents will be regarded as the date of shipment.
>
> A presentation consisting of one or more sets of transport documents evidencing shipment on more than one means of conveyance within the same mode of transport will be regarded as covering a partial shipment, even if the means of conveyance leave on the same day for the same destination.
>
> **c.** A presentation consisting of more than one courier receipt, post receipt or certificate of posting will not be regarded as a partial shipment if the courier receipts, post receipts or certificates of posting appear to have been stamped or signed by the same courier or postal service at the same place and date and for the same destination.

The provisions of UCP 600, article 31, are amplified by ISBP 745, paragraphs D22 and D23, E18 and E19, F16 and F17, G16 and G17, H18 and H19, and J13 and J14, all of which provide a similar wording for the type of transport document to which they relate.

As an example, **ISBP 745, paragraphs D22 and D23**, relate to multimodal transport documents.

> D22) Shipment on more than one means of conveyance (more than one truck [lorry], vessel, aircraft, etc.) is a partial shipment, even when such means of conveyance leaves on the same day for the same destination.
>
> D23) a. When a credit prohibits partial shipment, and more than one set of original multimodal transport documents are presented covering receipt, dispatch, taking in charge or shipment from one or more points of origin (as specifically allowed, or within a geographical

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area or range of places stated in the credit), each set is to indicate that it covers the carriage of goods on the same means of conveyance and same journey and that the goods are destined for the same destination.

b. When a credit prohibits partial shipment, and more than one set of original multimodal transport documents are presented in accordance with paragraph D23 (a) and incorporate different dates of receipt, dispatch, taking in charge, or shipment, the latest of these dates is to be used for the calculation of any presentation period and must fall on or before the latest date of receipt, dispatch, taking in charge or shipment stated in the credit.

c. When partial shipment is allowed, and more than one set of original multimodal transport documents are presented as part of a single presentation made under one covering schedule or letter and incorporate different dates of receipt, dispatch, taking in charge or shipment, on different means of conveyance, the earliest of these dates is to be used for the calculation of any presentation period, and each of these dates must fall on or before the latest date of receipt, dispatch, taking in charge or shipment stated in the credit.

It should be noted that Field 43P of the SWIFT MT700 message is optional and that the position taken under UCP 600, sub-article 31(a), is that partial drawings or shipments are allowed unless the documentary credit states otherwise.

20.12 Transhipment under a documentary credit

'Transhipment' means unloading from one vessel (or aircraft, or means of conveyance) and reloading to another vessel (or aircraft, or means of conveyance within the same mode of transport) during the carriage from the port of loading (or airport of departure, or place of shipment / dispatch / carriage) to the port of discharge (or airport of destination, or place of destination) stated in the documentary credit.

This definition is referred to in UCP 600, sub-articles 19(b), 20(b), 21(b), 23(b) and 24(d). The decision to allow transhipment is one upon which the applicant and beneficiary should agree. However, in light of the trend towards increasing containerisation of goods, it is most unlikely that those goods will move directly between two countries. Transhipment is even

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becoming more prevalent in air dispatch, with goods being transhipped at a hub airport.

For a transport document covering at least two different modes of transport, as covered by UCP 600, article 19, transhipment must be permitted in the documentary credit.

20.13 Impact of a force majeure event and effect of disclaimer rules on a documentary credit

UCP 600, article 36 ('Force Majeure'), provides as follows.

> A bank assumes no liability or responsibility for the consequences arising out of the interruption of its business by Acts of God, riots, civil commotions, insurrection, wars, acts of terrorism, or by any strikes or lockouts or any other causes beyond its control.
>
> A bank will not, upon resumption of its business, honour or negotiate under a credit that expired during such interruption of its business.

In effect, this rule means that if the beneficiary is unable to make a presentation to the nominated bank or issuing bank by the expiry date or latest presentation date because of a force majeure event closing the concerned bank, the documents will be discrepant.

For this reason, it is often the case that a beneficiary will insist that a standby letter of credit issued in its favour should modify the application of UCP 600, article 36, by imposing a period of time after the bank reopens during which the beneficiary may present its demand.

Contrast this position with that which appears in **ISP98, rule 3.14(a)**.

> a. If on the last business day for presentation the place for presentation stated in a standby is for any reason closed and presentation is not timely made because of the closure, the last day for presentation is automatically extended to the day occurring thirty calendar days after the place for presentation re-opens for business, unless the standby otherwise provides.

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UCP 600, article 34, is a disclaimer clause that provides as follows.

> A bank assumes no liability or responsibility for the form, sufficiency, accuracy, genuineness, falsification or legal effect of any document, or for the general or particular conditions stipulated in a document or superimposed thereon; nor does it assume any liability or responsibility for the description, quantity, weight, quality, condition, packing, delivery, value or existence of the goods, services or other performance represented by any document, or for the good faith or acts or omissions, solvency, performance or standing of the consignor, the carrier, the forwarder, the consignee or the insurer of the goods or any other person.

It has a direct relationship with UCP 600, articles 4 and 5, in that it provides no liability or responsibility on a bank for matters such as content, form, accuracy, genuineness, falsification or legal effect of any documents, the data contained therein or for the acts of any issuer of such documents.

UCP 600, article 35, contains three disclaimers:

> A bank assumes no liability or responsibility for the consequences arising out of delay, loss in transit, mutilation or other errors arising in the transmission of any messages or delivery of letters or documents, when such messages, letters or documents are transmitted or sent according to the requirements stated in the credit, or when the bank may have taken the initiative in the choice of the delivery service in the absence of such instructions in the credit.
>
> If a nominated bank determines that a presentation is complying and forwards the documents to the issuing bank or confirming bank, whether or not the nominated bank has honoured or negotiated, an issuing bank or confirming bank must honour or negotiate, or reimburse that nominated bank, even when the documents have been lost in transit between the nominated bank and the issuing bank or confirming bank, or between the confirming bank and the issuing bank.
>
> A bank assumes no liability or responsibility for errors in translation or interpretation of technical terms and may transmit credit terms without translating them.

UCP 600, article 37, provides a number of disclaimers in respect of the actions carried out by the issuing bank, at the request of the applicant, including the choice of advising bank or confirming bank.

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a. A bank utilizing the services of another bank for the purpose of giving effect to the instructions of the applicant does so for the account and at the risk of the applicant.

b. An issuing bank or advising bank assumes no liability or responsibility should the instructions it transmits to another bank not be carried out, even if it has taken the initiative in the choice of that other bank.

c. A bank instructing another bank to perform services is liable for any commissions, fees, costs or expenses ("charges") incurred by that bank in connection with its instructions.

If a credit states that charges are for the account of the beneficiary and charges cannot be collected or deducted from proceeds, the issuing bank remains liable for payment of charges.

A credit or amendment should not stipulate that the advising to a beneficiary is conditional upon the receipt by the advising bank or second advising bank of its charges.

d. The applicant shall be bound by and liable to indemnify a bank against all obligations and responsibilities imposed by foreign laws and usages.

20.14 Other conditions and products relating to a documentary credit

In this section, we discuss the following products that can apply to a documentary credit:

- release of goods by carriers against a shipping guarantee, or indemnity, issued or countersigned by an issuing bank;
- the use of a letter of indemnity (LOI) as an instrument, either as part of a documentary credit or on its own; and
- participation and syndication of risk in the issuance or confirmation of a documentary credit.

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20.14.1 The release of goods by carriers against a shipping guarantee, or indemnity, issued or countersigned by an issuing bank

As has been noted, an issuing bank must honour under a documentary credit when documents are found to comply with its terms and conditions. However, UCP 600, articles 4 and 5, indicate that:

- a documentary credit is separate from the sale or other contract on which it may be based; and
- banks deal with documents and not with goods, services or performance.

The protection that these principles provide to an issuing bank may be endangered by it issuing a shipping guarantee or indemnity to a carrier to facilitate the release of the goods without honour having previously occurred.

In the absence of settlement to a beneficiary, an issuing bank may also face the risk of dispute regarding conversion.

> **Conversion** is a legal term signifying wrongful interference with another person's property, inconsistent with the owner's right of possession. It has been defined as follows: Any person who, however innocently, obtains possession of goods the property of another who has been fraudulently deprived of the possession of them and disposes of them whether for his own benefit or that of another person is guilty of a conversion. A banker will be liable for conversion if he delivers to an unauthorized person articles left with him by a customer for safe custody.
>
> (Hanson, 1985)

It is important to understand how an indemnity differs from a guarantee.

- For a guarantee, there must be three parties:
  - the principal creditor;
  - the principal debtor, who is primarily liable; and
  - the guarantor, who is secondarily liable if the principal debtor fails to pay.
- For an indemnity, there are only two parties: the issuer and the beneficiary. The bank that issues an indemnity is primarily liable.

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20.14.2 Carrier indemnities (shipping guarantees)

An issuing bank may not receive documents under its documentary credit prior to the goods arriving at their destination. This may happen quite often if the forwarding of documents by a nominated bank is delayed because they have been found discrepant on first presentation or perhaps when they were presented by the beneficiary towards the end of the applicable presentation period. This means, for example, that an applicant may not be in possession of an original bill of lading when the vessel arrives at the port of discharge.

Unless the goods are cleared from the port with the minimum of delay, the port authorities may:

- levy charges and the rate of charge may increase the longer the goods remain at the port; and
- in a worst-case scenario, confiscate goods after the expiration of a stated statutory period.

20.14.2.1 Transaction

In these circumstances, an applicant will wish to clear the goods despite the absence of an original bill of lading. To do this, it will ask the carrier for its standard indemnity form against which the carrier may be willing to release goods despite the absence of an original bill of lading. Carriers will usually not accept an indemnity directly from an applicant and will usually require the indemnity to be countersigned or issued by the issuing bank of the documentary credit or another bank. If the carrier does not maintain a standard form and is willing to accept a bank-issued indemnity, an applicant may request its bank to issue the indemnity in a format that will be satisfactory to the carrier.

20.14.2.2 The form of indemnity

Although most carriers maintain their own standard forms, its content will differ from carrier to carrier and often from country to country. There are, however, a number of common features, as follows.

- The form is pre-printed with the heading of the carrier. It will indicate that it is an indemnity containing an undertaking in connection with delivery of the described goods without production of an original bill of lading.

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- The applicant and issuing bank, both of which may sign the indemnity (in the case of an indemnity issued directly by the bank, only the bank will sign), will undertake:
  - to indemnify the carrier and hold it harmless in respect of any liability, loss or damage of whatsoever nature that it may sustain by delivering the goods as requested;
  - to provide funds to defend any action brought against the carrier;
  - to pay on demand any freight and / or charges due on the goods (with the bank insisting, in some cases, that the goods be released only after payment of freight or other charges); and
  - to surrender an original bill of lading as soon as it is received and to acknowledge that each and every person is joint and severally liable, and that liability shall not be conditional upon proceeding first against any person.

A carrier's indemnity form may indicate that the incorporation of an expiry date or any qualifying remarks is not acceptable. The following particulars are typically shown:

- consignee;
- vessel and voyage number;
- bill of lading number;
- quantity and description of goods / container numbers; and
- amount.

To countersign or issue an indemnity, an issuing bank will normally require the applicant to sign its own form of indemnity in favour of the bank. Unsurprisingly, this indemnity will usually seek to protect the bank as fully as possible. It should include the applicant's undertaking to accept the documents, when presented, irrespective of any discrepancies, and it should contain an irrevocable authority for the bank to debit the applicant's account or an undertaking that the applicant will transfer funds to the issuing bank on first demand (when no account is held with the issuing bank).

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20.14.2.3 The risks

The risks to an issuing bank, in addition to those already detailed, are that:

- there will most likely be no date limitation of the bank's liability; and
- the liability may, in some cases, be unlimited in amount.

Accordingly, an issuing bank may insist upon a cash deposit to cover at least the invoice value plus a margin and will record the amount of liability against the customer's credit facility. Local bank regulations may dictate the specific procedure for establishing the bank's liability, limitation on its duration and specific accounting requirements. In most jurisdictions, the applicable statute of limitations may apply to the expiry period for the indemnity, which, for most countries, would be a minimum of six or seven years.

Where an amount is to be inserted into the indemnity, it is not uncommon for carriers to insist that it be for at least 200 per cent of the invoice value.

20.14.3 Airway releases and delivery orders

Airway releases deal with the delivery of goods despatched by air. Delivery orders deal with the delivery of goods despatched by modes other than sea and air, and are generally seen in respect of goods despatched by road. However, it should be noted that banks will often refer to the issuance of a delivery order for the release of air cargo.

Goods despatched by air or road generally arrive sooner than the underlying documents. An issuing bank is therefore often called upon to issue an airway release or delivery order to the respective carrier holding the goods, enabling them to be released to the applicant under the documentary credit or its nominee.

20.14.3.1 The form of airway releases and delivery orders

Airway releases and delivery orders usually take the form of letters, telexes, faxes or electronic messages. They are issued by the issuing bank of the documentary credit, addressed to the carrier, and will show some, or all, of:

- air waybill number or truck waybill number;
- consignor;
- carton detail or container numbers;

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- description of goods;
- documentary credit number;
- invoice number and invoice amount; and
- an instruction to release the goods to the applicant or its nominee.

These releases or orders do not always include an indemnity to the carrier because, in the case of air despatch, the goods are often consigned to the issuing bank.

In these circumstances, the release or order serves as an instruction to deliver goods to the applicant or its nominee.

20.15 Counter-indemnity

An applicant's counter-indemnity to an issuing bank to cover the issuance of an indemnity, airway release or delivery order, will usually indicate that the applicant:

- undertakes to accept the documents, when presented, irrespective of any discrepancies;
- indemnifies the bank against all actions, proceedings, damages or costs in relation to the issue, of the indemnity, release or order;
- undertakes that, should the goods released form part of a larger consignment, it will accept such larger consignment and pay the full value thereof; and
- gives the issuing bank irrevocable authority to debit its account, or an undertaking that the applicant will transfer funds to the issuing bank on first demand (when no account is held with the issuing bank).

20.16 The risks

The risks involved are that:

- the issuing bank takes on a primary responsibility by instructing a carrier to release goods to the applicant;
- the issuing bank is dealing with goods, contrary to the position under UCP 600; and,

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- unless the beneficiary has been paid, or a draft has been accepted or a deferred payment undertaking incurred, the issuing bank is instrumental in delivering goods of an unpaid beneficiary to the applicant.

20.17 Letters of indemnity (LOIs)

An LOI is usually seen in commodity trades, such as oil, in which the cargo can be sold many times during its voyage. The following describes the circumstances under which an LOI could be used in a transaction covering a shipment of oil.

- Individual oil transactions typically have high values. They can be in the range of USD50m–100m or more.

- Intermediary buyers and sellers are often brokers who have no interest in the oil as end users, but who simply look to make a profit on each sale. A particular seller in the chain may well be a subsequent buyer of the same oil.

- Original charter party bills of lading are issued upon shipment, but the problem is that prior intervening parties may take their time to release and deliver the charter party bills of lading (duly endorsed to the next buyer), and therefore the final seller has little option but to use an LOI to fulfil its transaction.

A documentary credit covering the shipment of oil will provide a list of the documents that are required in order for the beneficiary to be paid. This list will include documents such as a commercial invoice and a full set of charter party bills of lading. It will also often indicate that, should the charter party bills of lading not be available at the time of presentation or payment, the beneficiary may present an LOI and a commercial invoice. The documentary credit may incorporate the wording of the LOI that is to be issued.

If the beneficiary presents its invoice and LOI, settlement is made against these documents only. When the beneficiary has collated all of the other documents, it will present them to the nominated bank or issuing bank in exchange for the release of the LOI. These documents are not examined under the terms and conditions of the documentary credit or UCP 600.

20.17.1 The form of the LOI

The LOI is generally a one-page document that:

- confirms the issuer's ownership rights over the goods;

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- indemnifies the party to which it is addressed against the absence of a full set of original charter party bills of lading;

- undertakes to surrender such full set of charter party bills of lading as soon as they are received; and

- agrees to hold the addressee harmless and indemnified against all consequences resulting from the sale and the absence of a full set of original charter party bills of lading.

As previously stated, an LOI is usually issued by the beneficiary of the documentary credit and, if required, countersigned by its bankers. See Figure 20.1 for an example of a letter of indemnity in respect of a consignment of oil.

20.17.2 The countersigning of the LOI by a bank

It may be the case that a bank will be asked to countersign the LOI issued by the beneficiary. There are no rules that govern the countersigning of the LOI or the level of liability that a bank will record against its client's credit facility.

It has been known for some banks to record a nominal amount merely to track an outstanding LOI and the presentation of the shipping documents for its release. With the recording of a nominal liability will come a nominal fee for the bank adding its counter-signature.

Other banks will record the full amount against the credit facility of the beneficiary and charge accordingly.

It is for each bank to develop its own policies for the countersigning of such documents.

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Figure 20.1 Sample letter of indemnity

INDEMNITY FOR MISSING DOCUMENTS:

TO: (BUYER/APPLICANT)

DATE:

RE: SHIPMENT OF ……. METRIC TONS OF ……CRUDE OIL SHIPPED PER MTV ……. B/L DATED …… 20XX, COVERED BY DOCUMENTARY CREDIT NUMBER …… OF …… (DATE) ……..

DEAR SIRS,

ALTHOUGH WE, ……. (SELLER) ……., HAVE SOLD THE ABOVE MENTIONED CARGO TO … (BUYER) … ……. WE HAVE BEEN UNABLE TO PROVIDE YOU WITH THE ORIGINAL SHIPPING DOCUMENTS INCLUDING 3/3 ORIGINAL CLEAN ON BOARD BILLS OF LADING ISSUED OR ENDORSED TO THE ORDER OF … (BANK OR BUYER) … ……. AS REQUESTED BY DOCUMENTARY CREDIT NUMBER ……. COVERING THE SAID SALE.

IN CONSIDERATION OF ……. (BANK – IF APPLICABLE) …….. FOR ACCOUNT OF ……. (BUYER)… ……., PAYING US THE FULL PURCHASE PRICE OF USD …….. WE HEREBY TRANSFER TITLE TO YOU AND EXPRESSLY WARRANT THAT WE HAVE MARKETABLE TITLE TO SUCH CARGO FREE AND CLEAR OF ANY LIEN OR ENCUMBRANCE AND THAT WE HAVE FULL RIGHT AND AUTHORITY TO TRANSFER SUCH TITLE AND TO EFFECT DELIVERY OF SUCH MATERIAL TO YOU.

WE FURTHER AGREE TO EXERCISE OUR UTMOST EFFORTS TO LOCATE AND SURRENDER TO ……. (BANK OR BUYER) …….. FOR ACCOUNT OF ……. (BUYER) …….. AS SOON AS POSSIBLE THE ORIGINAL SHIPPING DOCUMENTS INCLUDING 3/3 ORIGINAL CLEAN ON BOARD BILLS OF LADING ISSUED OR ENDORSED TO THE ORDER OF …… (BANK OR BUYER) ……. AS REQUESTED BY DOCUMENTARY CREDIT NUMBER. …….. AND TO PROTECT, INDEMNIFY AND SAVE YOU HARMLESS FROM AND AGAINST ANY AND ALL DAMAGES, COSTS, COUNSEL FEES (INCLUDING REASONABLE ATTORNEY FEES) AND ANY OTHER EXPENSES WHICH YOU MAY SUFFER BY REASON OF THE ORIGINAL BILLS OF LADING AND OTHER SHIPPING DOCUMENTS REMAINING OUTSTANDING, INCLUDING, BUT NOT LIMITED TO, ANY CLAIMS AND DEMANDS WHICH MAY BE MADE BY A CONSIGNOR, A HOLDER OR TRANSFEREE OF THE ORIGINAL BILLS OF LADING AND OTHER SHIPPING DOCUMENTS, OR BY ANY OTHER THIRD PARTY CLAIMING AN INTEREST IN OR LIEN ON THE CARGO OR PROCEEDS THEREOF.

THIS LETTER OF INDEMNITY SHALL BE CONSTRUED, INTERPRETED AND GOVERNED BY THE LAWS OF … (COUNTRY) …… (WITHOUT LIMITATION AS TO ITS FORM CONTENTS, VALIDITY AND ENFORCEABILITY, BUT WITHOUT REFERENCE TO ANY CONFLICT OF LAW RULES).

THIS LETTER OF INDEMNITY WILL EXPIRE UPON OUR TENDERING TO …… (BANK) ….. FOR ACCOUNT OF …….. (BUYER) ……., THE ORIGINAL SHIPPING DOCUMENTS INCLUDING 3/3 ORIGINAL CLEAN ON BOARD BILLS OF LADING ISSUED OR ENDORSED TO THE ORDER OF ……. (BANK OR BUYER) …… AS REQUESTED BY DOCUMENTARY CREDIT NUMBER …….. AND ISSUED IN STRICT CONFORMITY WITH SAID DOCUMENTARY CREDIT.

YOURS FAITHFULLY,
……. (SELLER) …….

……
AUTHORISED SIGNATORY

COUNTERSIGNED BY: (BANK NAME)
AUTHORISED SIGNATORY: (NAME)

Source: Author, 2015

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20.18 Syndicating, and participating in, risk

Increasingly, the values of many transactions are becoming so large that individual banks are less willing to undertake these transactions and to retain the full liability in their own books. As a result, banks may prefer to share the risk, and arrangements are made to syndicate part or all of the risk to participating banks. These arrangements are described in general terms as 'syndication' and 'participation'.

The syndication of, or participation in, risk in a documentary credit is handled in different ways depending upon:

- the banks concerned;
- the countries involved;
- legal issues and advice; and
- the approval of each bank's legal advisers on documentation.

The most common instances in which an act of syndication and participation may occur are as follows.

- A documentary credit may be established on behalf of an applicant (often a multinational) on a syndicated basis and to facilitate the process that follows from doing so – that is, the examination of documents and effecting payment thereunder.
- It may concern the confirming of a large-value documentary credit.

It should be noted that arrangements may take either of two forms: silent or disclosed.

- **Silent** syndication is a one-off transaction under which the lead bank adds its confirmation and examines documents, and then honours or negotiates on behalf of the syndicate. The lead bank is the public voice of the syndicate, which means that third parties are unaware of the participation of the other banks.
- Syndication may be **disclosed** – that is, the sharing of a facility among banks in the syndicate under which each bank in turn confirms its own portion of the documentary credit and examines documents, and then honours or negotiates up to the amount for which it added its confirmation.

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20.18.1 Establishing documentary credits and follow-up operations

A group of banks may, at the request of an applicant, arrange a facility on a syndicated basis under which they share the risk of an applicant's inability to repay in (agreed) percentage terms. Part of such a facility may be available to open documentary credits. Such documentary credits may be opened by one bank, with the others sharing in the risk, as above, or by each bank up to the percentage of the facility or risk agreed by it.

20.18.2 Syndication agreements

An agreement signed by all participating banks is central to any syndication.

One bank will be appointed as the lead bank, either because such bank is to take the largest proportion of the risk or simply by common agreement of all banks that are involved. The lead bank will, in consultation with the other banks (and the applicant, when the syndicate is in respect of the issuance of one or more documentary credits), draw up a syndication agreement.

The agreement should cover some or all of the following aspects.

i. The total value of the documentary credit(s)

ii. The type and nature of the goods

iii. The length of validity for shipment and expiry

iv. The minimum documentary requirements to be stipulated in each documentary credit and required for presentation for honour or negotiation

v. What type of amendment will or will not be permitted

vi. Whether the other banks wish to approve the text of each documentary credit and any amendment thereto prior to issuance

vii. How documents are to be handled – that is, whether the lead bank's examination of documents will be acceptable and the other banks will accept the lead bank's decision with regard to conforming documents, and whether such acceptance will be qualified by exclusion of liability of the other banks in respect of manifest error or negligence on the part of the lead bank

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viii. If documents presented under the documentary credit are discrepant:

   a. whether the other banks need to be advised of such discrepancies

   b. whether the refusal of documents in terms of UCP 600, article 16, will end the liability of all banks

   c. and where a waiver of the applicant has been accepted by the issuing bank, whether the other banks need to be consulted and whether they need to approve such waiver prior to reinstatement of their liability

ix. Whether there are any circumstances (that is, bankruptcy or liquidation) in which banks will wish to retain their rights to:

   a. refuse documents without reference to the applicant

   b. refuse to reinstate their liability even if the applicant has subsequently accepted the discrepant documents

x. The basis for sharing of commissions and fees

xi. The documentary requirements for any claims under the syndication agreement

xii. The sharing of any security that the applicant may have surrendered, including the sharing of the sale proceeds of the underlying goods

These points illustrate some aspects that need to be considered in drafting a syndication agreement, although not all will apply in every situation and some may involve additional issues. Each syndication arrangement needs to be examined separately and an agreement relevant to each must be drafted separately.

20.18.3 Confirming a large-value documentary credit when a single bank is unwilling to take all of the risk

The aspects of a syndication agreement, as shown in i–xii above, have equal application to the syndication of a confirmation of a documentary credit. In order to maintain control in handling such confirmations, bank staff should:

- clearly mark the file or system record to ensure that anyone can see that it relates to a syndicated transaction;

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- ensure that the file or system record contains:
  - a copy of the syndication agreement; and
  - the names and telephone numbers of contacts in the participating banks (in each case, the bank's in-house legal advisers and relationship manager);
- ensure that the file is handled by senior staff with sufficient experience in UCP 600, documentary credits and syndicated transactions, who are able to have meaningful conversations with participating banks, legal advisers and the relationship manager; and
- ensure that all developments are documented, including conversations with participating banks, legal advisers and relationship managers.

In view of the large amounts of money involved, the speed with which transactions need to be handled and the involvement of other banks, senior management or more experienced personnel should become involved when there is the slightest doubt or difficulty with a syndicated transaction.

Questions

1. A documentary credit is issued as follows:

   Field 45A: '500 Cars (200 Type A, 150 Type B and 150 Type C)'

   'Type A are to be shipped no later than 20 June 20XX.'

   'Type B are to be shipped no later than 15 August 20XX.'

   'Type C are to be shipped no later than 30 September 20XX.'

The beneficiary makes a presentation on 30 June 20XX, which includes one complete set of documents, but two sets of bills of lading issued as follows: one set of on board bills of lading dated 19 June 20XX, covering shipment of 175 Type A cars; and one set of on board bills of lading dated 21 June 20XX, covering shipment of 25 Type A cars.

The documents are discrepant, but which of the following is correct?

A. The credit ceases to be available for this drawing and the subsequent instalments.

B. The credit ceases to be available for the subsequent instalments.

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C. Late shipment applies because 25 cars were shipped on 21 June, but the credit remains available for the subsequent instalments.

D. Late shipment applies because 25 cars were shipped on 21 June and the credit ceases to be available for the subsequent instalments.

2. Against what does a letter of indemnity indemnify the holder?

A. Failure of the applicant to pay

B. Failure of the issuing bank to pay

C. The absence of a commercial invoice

D. The absence of an original charter party bill of lading

3. In most jurisdictions, after how long will a carrier's indemnity (shipping guarantee) that contains no expiry date expire?

A. Six months

B. Six or seven years

C. Four or five years

D. One or two years

4. Which of the following will not normally be included in a syndication agreement?

A. Validity for shipment and expiry

B. Type of amendments that may be issued

C. A list of all required documents

D. The type and nature of the goods

5. Which of the following accurately describes a revocable documentary credit?

A. It may be cancelled at any time.

B. It may be amended at any time.

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C. It may be cancelled or amended at any time and without the prior consent of the beneficiary.

D. It may be cancelled or amended without the prior consent of the beneficiary.

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